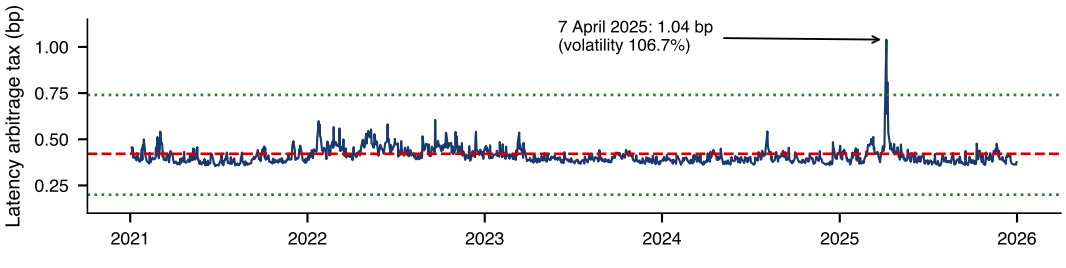
Latency arbitrage tax (bp)
1.00
0.75
0.50
0.25
7 April 2025: 1.04 bp
(volatility 106.7%)
2021
2022
2023
2024
2025
2026
Implied daily tax at mean traded value, value-and-volatility specification:
0.3354 + 0.0066 x annualised realised volatility of the day (%), in bp
Value-only specification: 0.4213 bp
The paper's lowest and highest scenarios: 0.20 and 0.74 bp